

Case Study

Order-to-Delivery Process Improvement

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1. Executive Summary

This case study analyzes the Order-to-Delivery (O2D) process within a mid-sized distribution company. The objective is to identify bottlenecks, reduce delivery delays, and improve operational visibility through structured process modeling and KPI-driven performance tracking.

The analysis focuses on process mapping, risk identification, and ERP-based control point design to enhance efficiency and data consistency.

2. Current State Overview

Process Flow:

1. Customer order received
2. Manual stock availability check
3. Order confirmation
4. Warehouse picking & packing
5. Shipment arrangement
6. Delivery confirmation

Observed Issues:

- Manual stock validation
 - Delayed shipment scheduling
 - Lack of real-time tracking
 - No defined performance KPIs
 - Limited inter-department visibility
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3. Problem Definition

The current process suffers from:

- Inconsistent delivery lead times
- Manual intervention errors
- Duplicate data entries between departments
- Lack of measurable performance indicators
- Limited process transparency

These issues lead to customer dissatisfaction and operational inefficiencies.

4. Analytical Approach

Methodology:

- High-level process mapping (BPMN logic)
- Bottleneck identification
- Risk assessment
- KPI framework definition

Identified Bottlenecks:

- Manual stock validation delays
 - Shipment scheduling dependency on warehouse confirmation
 - Lack of automated ERP validation triggers
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5. Proposed Improvements

5.1 Process Enhancements

- Implement automated stock validation within ERP
- Introduce shipment scheduling triggers
- Define clear approval checkpoints
- Standardize data entry across modules

5.2 ERP Control Points

- Purchase / Inventory synchronization
- Real-time stock status update

- Automated order status tracking
 - Exception alert notifications
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6. KPI Framework

To measure performance improvements:

KPI	Definition
Order Cycle Time	Time from order confirmation to delivery
On-Time Delivery Rate	% of deliveries completed within SLA
Inventory Accuracy Rate	System vs physical stock consistency
Process Delay Index	Delay occurrences per 100 orders

7. Expected Impact

- Reduced delivery lead time
 - Improved cross-department data consistency
 - Increased customer satisfaction
 - Measurable operational transparency
 - Stronger ERP integration alignment
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8. Conclusion

By applying structured business analysis techniques and ERP integration logic, the Order-to-Delivery process can transition from manual dependency to measurable, optimized, and data-driven operations.

This case demonstrates the importance of combining process modeling, KPI design, and ERP control mechanisms to achieve sustainable operational improvement.